

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Samsung Electronics America, Inc.	)	
	)	
<i>Complainant,</i>	)	
	)	
v.	)	
	)	
WAN HAI LINES, LTD.	)	DOCKET NO. 26-06
	)	
	)	
<i>Respondent.</i>	)	
	)	

**RESPONDENT’S PARTIAL MOTION TO DISMISS AND FOR ENTRY OF AN ORDER
REQUIRING THE FILING OF AN AMENDED COMPLAINT**

Pursuant to 46 C.F.R. § 502.69, Respondent Wan Hai Lines, Ltd. hereby moves to dismiss one of the two claims contained in Complainant Samsung Electronics America, Inc.’s (“SEA”) Complaint (the “Complaint”) and for entry of an order requiring the filing of an amended Complaint. A memorandum in support of this motion is submitted herewith.

Respectfully Submitted,



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Dated: June 15, 2026

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	)	
<i>Respondent.</i>	)	

DOCKET NO. 26-06

**MEMORANDUM IN SUPPORT OF
RESPONDENT’S PARTIAL MOTION TO DISMISS AND FOR ENTRY OF AN
ORDER REQUIRING THE FILING OF AN AMENDED COMPLAINT**

Respondent Wan Hai Lines, Ltd. (“Wan Hai”), through undersigned counsel, hereby moves to dismiss one of the two claims contained in Complainant Samsung Electronics America, Inc.’s (“SEA”) Complaint (the “Complaint”) and for entry of an order requiring the filing of an amended Complaint.

I. INTRODUCTION

While many of the factual allegations in the Complaint are denied by Wan Hai, it is not necessary to deal with those disputes at this time because, even accepting those facts as true, at least some elements of the Complaint should be dismissed as a matter of law. Specifically, Wan Hai seeks dismissal of Count II of the Complaint to the extent it relates to SEA’s claim that Wan Hai “failed to have or engage in an adequate or meaningful dispute resolution process for

demurrage and detention charges” and that such failure constituted violation of 46 U.S.C. § 41102(c). Complaint, ¶ 30.d. In addition, Wan Hai seeks entry of an order requiring SEA to file an amended Complaint because, despite having previously been required to amend complaints in other proceedings based on its failure to specifically state the amount of reparations sought, SEA did so again in its Complaint in this proceeding.

II. APPLICABLE LEGAL STANDARD

The Commission’s rules of practice and procedure do not explicitly provide for motions to dismiss. However, Rule 12 (46 C.F.R. §502.12) states that the Federal Rules of Civil Procedure (“FRCP”) are followed in instances that are not covered by the Commission’s rules, to the extent that the application of the FRCP is consistent with sound administrative practice.

The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 FMC LEXIS 216, at *6 (FMC Oct. 29, 2020). The Commission has stated:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12, at *25-26 (FMC Aug. 1, 2011).

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179, at *5 (M.D. Tenn. 2014).

As explained below, Complainant fails to meet this standard with respect to its claim under Count II of the Complaint that Wan Hai “failed to have or engage in an adequate or meaningful dispute resolution process for demurrage and detention charges”.

III. SEA’S CLAIM WITH RESPECT TO WAN HAI’S DISPUTE RESOLUTION PROCESSES SHOULD BE DISMISSED

SEA’s claim in Count II of the Complaint relating to the reasonableness of Wan Hai’s dispute resolution processes under 41102(c) should be dismissed because it does not plausibly give rise to an entitlement to relief.

To make out a plausible claim that Wan Hai’s dispute resolution procedures were insufficient, SEA must allege that it attempted to use Wan Hai’s existing dispute resolution procedures and must explain how the procedures were insufficient. SEA does not make such allegations. Instead, SEA’s claim appears to simply be based on the allegation that Wan Hai would not pay SEA’s demand.

The Complaint admits that Wan Hai and SEA engaged in “multiple discussions and meetings, between November 2022 to date,” prior to SEA’s filing of the Complaint. Complaint ¶ 55. Indeed, those discussions were extensive enough that SEA apparently concluded there was

nothing further to be gained from engaging in the FMC's alternative dispute resolution processes prior to filing its Complaint. Complaint ¶ 55.

While similar claims by SEA were deemed sufficient to survive a motion to dismiss in other proceedings brought by SEA, in this instance, SEA has alleged even less detail than the minimally sufficient allegations made in those other proceedings. Specifically, in responding to a motion by HMM Company Ltd. to dismiss a similar claim by SEA, Administrative Law Judge Chintella explained that:

HMM also argues that the allegations of unreasonable dispute-resolution practices are insufficiently pleaded. Mot. to Dismiss 23-24. The complaint alleges that "HMM failed to have or engage in an adequate or meaningful dispute resolution process for demurrage and detention charges." Compl. ¶ 46(e). **While this is fairly general, SEA also describes a process whereby it initiated a dispute in October 2022, then after five months of discussions, HMM proposed a charge-by-charge analysis of 96,000 separate charges.** Compl. ¶¶ 50-55. It is not a stretch to read this, in a light favorable to SEA, as an unreasonable process, and so HMM's contention that SEA has failed to sufficiently plead an unreasonable dispute-resolution process is unpersuasive. Mot. to Dismiss 23-24. *Samsung Electronics America, Inc. v. HMM Co., Ltd.*, FMC Docket 24-23, Order Partially Granting Motion to Dismiss (ALJ Chintella March 24, 2025).

Whereas Judge Chintella concluded that he could construe the complaint in that proceeding to include a minimally sufficient allegation as to the unreasonableness of HMM's dispute processes on the basis of SEA's assertion that HMM required it to engage in a charge-by-charge analysis of 96,000 separate charges, SEA has made no such allegation in its Complaint against Wan Hai. Rather, in this case, SEA's Complaint includes only conclusory statements about the insufficiency of Wan Hai's practices or recitations of the statutory elements of a violation. In reality, the only thing the Complaint alleges with any specificity is that Wan Hai

refused to accept SEA's settlement offers or to make settlement offers acceptable to SEA. Even if accepted as true, this is not sufficient to establish a violation of the Shipping Act.

IV. SEA SHOULD BE ORDERED TO FILE AN AMENDED COMPLAINT

Pursuant to Commission Rule 62, where reparations are sought, "the complaint must set forth the injury caused by the alleged violation and the amount of alleged damages." 46 C.F.R. § 502.62(a)(4)(i). On multiple occasions in proceedings before the Commission, SEA has been ordered to amend complaints against carriers because it failed to specify the amount of reparations it was seeking in compliance with Commission Rule 62. *See Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited v. Samsung Electronics Company, Ltd.*, FMC Docket 24-17, Order Partially Granting Motion to Dismiss (ALJ Chintella November 18, 2024); *Samsung Electronics America, Inc. v. COSCO Shipping Lines Co., Ltd.*, FMC Docket 24-16, Order on Motion to Dismiss (ALJ Crovella April 11, 2025); and *Samsung Electronics America, Inc. v. HMM Co., Ltd.*, FMC Docket 24-23, Order Partially Granting Motion to Dismiss (ALJ Chintella March 24, 2025). Despite this repeated and clear guidance, SEA has again failed to include complete details as to the amount of reparations it is seeking. Specifically, in addition to demurrage, detention, and associated charges totaling approximately \$1.2 million, SEA also requests reparations for "additional costs borne by SEA to perform Wan Hai's inland transportation obligations and for other mitigation actions"; "lost revenues in an amount to be calculated"; and "prejudgment interest". Complaint ¶ 37. It provides no amount sought for these additional categories of damages and the Complaint is therefore plainly not in compliance with Rule 62.

V. CONCLUSION

For the foregoing reasons, Wan Hai respectfully requests that SEA's claims with respect to the reasonableness of Wan Hai's dispute resolution practices under 41102(c) in Count II of the Complaint be dismissed with prejudice and that SEA be order to file an amended Complaint setting forth the amount of reparations it seeks.

Respectfully submitted,

A handwritten signature in black ink, appearing to read 'Josh P. H.', is written over the typed name.

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Dated: June 15, 2026

CERTIFICATE OF SERVICE

I certify that, on June 15, 2026, a true and current copy of the foregoing Partial Motion to Dismiss and for Entry of an Order Requiring the Filing of an Amended Complaint was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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Dated: June 15, 2026

/s/ Joshua Stein

Joshua Stein
Cozen O'Connor